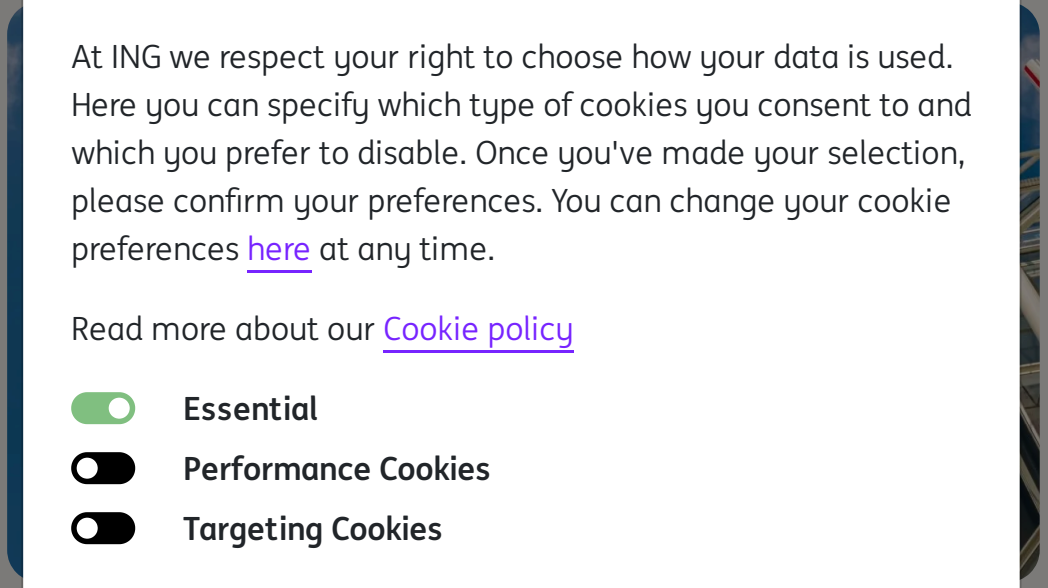
The Solvency II amendments are unlikely to result in a material increase in demand for bank bonds. Securitisations benefit most directly through lower capital charges, while covered bonds could benefit modestly from the new liquidity-buffer rules



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will apply, making these revisions one of the important regulatory themes for 2027. One of the key objectives of the Solvency II reforms is to release capital and promote long-term investments by European insurance companies in support of the ambitions of Europe's Savings and Investments Union (SIU). Such capital release could also increase the capacity of insurance companies to invest more in corporate and bank bonds.

During the past decade, insurance companies have reduced their bond holdings in favour of equity. Rather than an active reallocation of assets, this partially reflects second-round effects related to the strong equity market growth and the rise in bond

yields and corresponding decline in bond valuations against the backdrop of the ECB rate hikes in 2022 and 2023. Higher yields have also coincided in recent years with a stronger focus by banks on issuance in shorter maturities, rather than the longer maturities traditionally favoured by insurance companies. This has been particularly noteworthy for covered bonds.

Insurance companies increase equity versus debt exposures

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subordinated bank bonds continue to be treated as corporate bonds with capital charges determined by their ratings and duration, while qualifying covered bonds keep their preferential treatment. The impact of the Solvency II revisions therefore arises mainly indirectly through lower overall capital requirements, while securitisations are the only debt instruments benefiting directly through a more favourable capital treatment.

Nonetheless, certain reforms are worth highlighting for their potential impact on insurance demand for different bank bonds. Among these, the amendments relating to long-term equity

investments, securitisations and the volatility adjustment are particularly noteworthy.

1 Long-term equity investments and non-life liquidity buffers

Under Solvency II, insurance companies can classify part of their equity holdings as **long-term equity investments (LTEI)**, benefiting from a lower 22% capital charge. To qualify, these investments must be held for at least five years, be listed in the EEA or OECD, meet diversification standards and be managed under a long-term investment policy. The insurer must also be able to avoid forced s

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- Qualifying **Level 1 assets**, subject to a 0% haircut, are cash, exposures to the ECB, multilateral development banks and international organisations, and domestic currency exposures to EEA central governments and central banks.
- Qualifying **Level 2A assets**, subject to a 15% haircut, are bonds and loans rated AA- or better that are not issued by an insurance company or bank, and covered bonds rated AA- or better as referred to in Article 3(1) of the European Covered Bond Directive (CBD) (ie 'European Covered Bonds').
- Qualifying **Level 2B assets**, subject to a 25% haircut, are Simple, Transparent and Standardised (STS) securitisations (not

originated by group entities) rated AA- or better or that constitute a senior tranche; or subject to a 50% haircut, bonds and loans rated A+ to BBB- that are not issued by an insurance company or bank, and equity investments listed in the EEA or OECD, or traded on multilateral trading facilities, that are not long-term or strategic equity investments and are not investments in an insurance company or bank.

While unsecured bank bonds are excluded as eligible liquid assets, the LTEI-related liquidity buffer approach could generate some additional demand for covered bonds or STS securitisations of banks. However, we don't expect this effect to be significant given t
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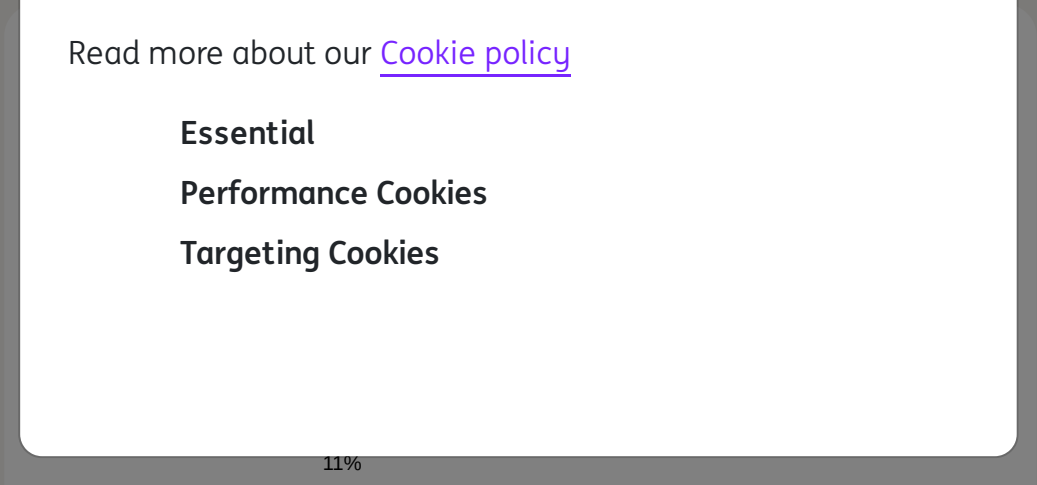
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Source: EIOPA, ING

The LTEI liquidity approach is separate from the generic liquidity and concentration risk management requirements under Solvency II, as well as from the obligation under the amended Solvency II Directive to provide for a liquidity risk management plan.

❷ Lower capital requirements for securitisations

The amended Solvency II Delegated Regulation lowers the capital requirements for securitisation notes. This should encourage insurers to invest more in these transactions, helping banks to transfer risk and expand lending.

- The risk factors (a_i and b_i) for the spread risk of senior tranches of STS securitisations will become fully aligned with the treatment of similarly rated covered bonds as referred to in CBD Article 3(1).
- The risk factors for non-senior STS securitisations are reduced to a similar extent, with the new capital charges for AAA-rated non-senior notes at c.70% of the current capital charge, and for

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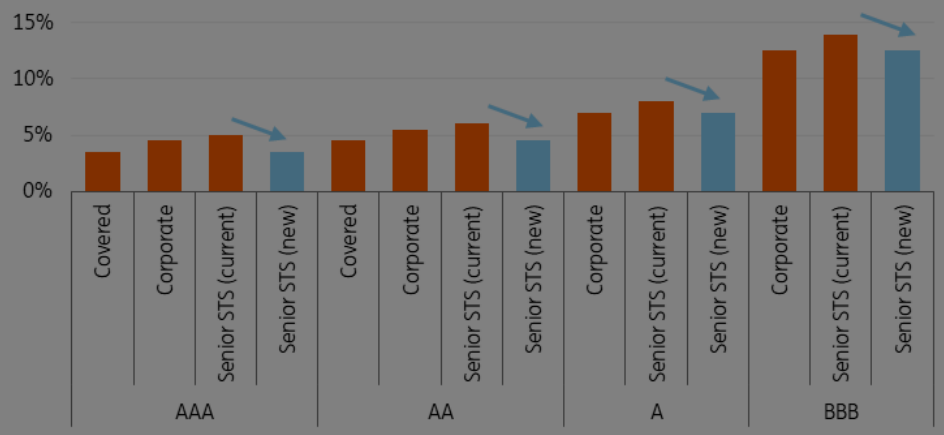
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bonds. Further down the rating scale, STS securitisations will be treated closer to that of unsecured bonds from a capital perspective, where corporate and bank unsecured bonds will still benefit from a more favourable capital charge than similarly rated senior STS securitisations.

Securitisation alternatives will become more competitive from a capital perspective



Source: European Commission, ING

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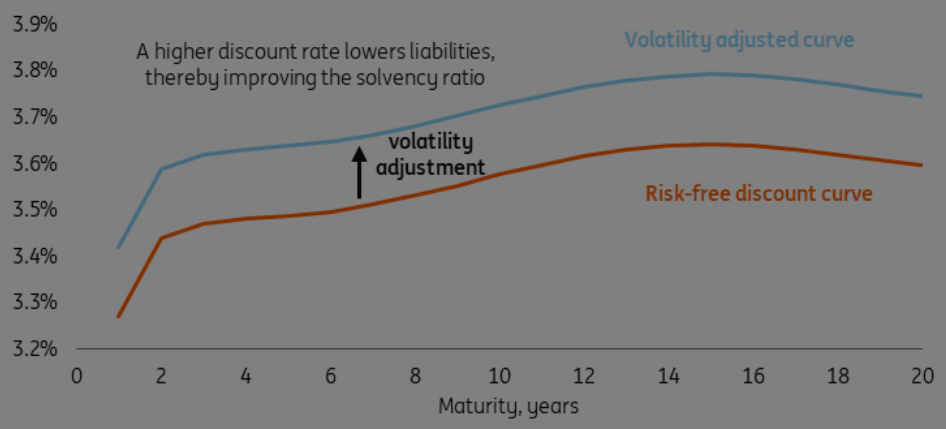
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Insurance companies calculate the best estimate of their liabilities by discounting the expected future liability cash flows using the relevant risk-free interest rate term structure. To mitigate the balance sheet impact of bond spread volatility (ie, on the asset side of their balance sheet), insurance companies can discount their liabilities at the risk-free rate plus a volatility adjustment (VA).

The volatility adjustment increases the discount rate

Spot rate, %



Source: EIOPA, ING

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adjustment helps mitigate excessive widening in specific countries.

Under the current regime, the representative currency and country portfolios are constructed as uniform portfolios, even though insurers' actual fixed-income portfolios may differ substantially. Some insurers can therefore benefit excessively from the volatility adjustment if the resulting reduction in the best estimate of their liabilities exceeds the decline in the value of the relevant assets when credit spreads widen.

For this reason, the Solvency II revisions change the calculation of the volatility adjustment by a) making the applicable risk corrections (RC) more spread-sensitive, and b) introducing a credit spread sensitivity ratio (CSSR) to better align the volatility adjustment with the insurer's asset-liability profile. The latter ratio reflects the price value of a basis point of the insurer's bond, securitisation and loan investments versus the price value of a basis point of the best estimate of liabilities, with a minimum of 0 and a maximum of 1.

Moreover, subject to approval by the supervisory authority, an undertaking-specific adjustment (USA) of up to 105% may be a

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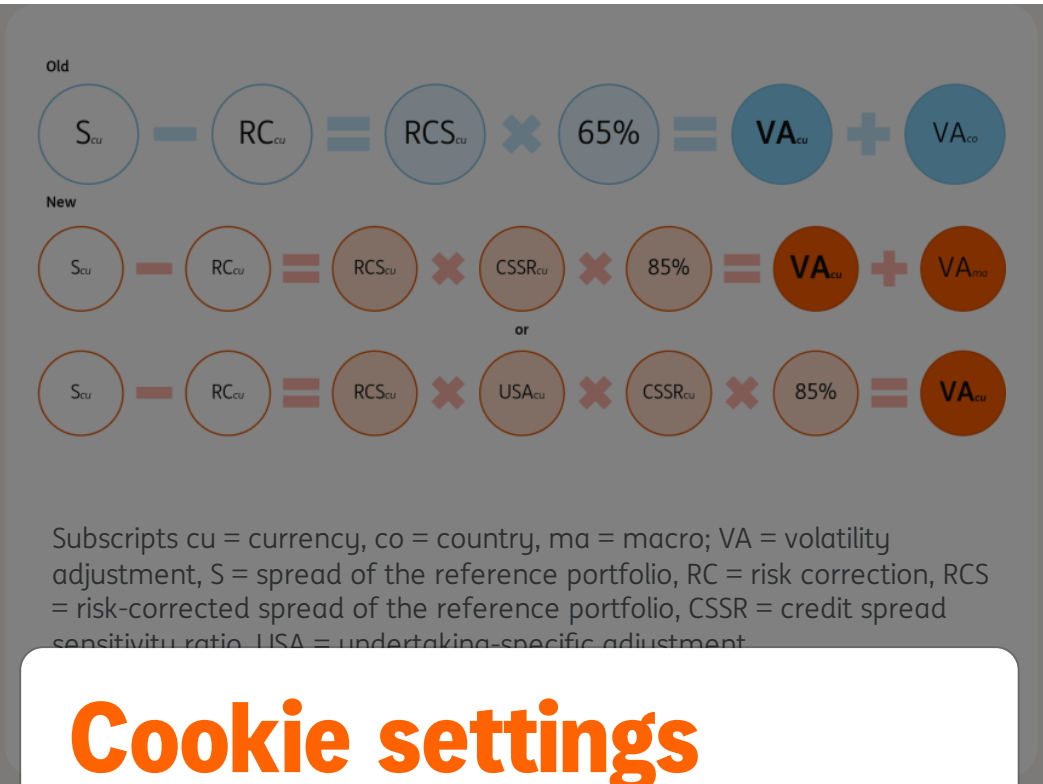
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Volatility adjustment calculations



Subscripts cu = currency, co = country, ma = macro; VA = volatility adjustment, S = spread of the reference portfolio, RC = risk correction, RCS = risk-corrected spread of the reference portfolio, CSSR = credit spread sensitivity ratio, USA = undertaking-specific adjustment

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disproportionately from the volatility adjustment when their assets are less spread-sensitive than the reference portfolio.

Conclusion

The Solvency II amendments are unlikely to trigger a material reallocation in favour of bank bonds. Securitisations are the most obvious beneficiaries of a more favourable capital treatment, while covered bonds and unsecured bank bonds should mainly benefit indirectly from lower overall capital requirements for insurers. We

therefore expect the revisions to only support insurer demand for bank bonds at the margin.

Solvency II | Covered bonds | Bank Outlook 2027 | Bank bonds

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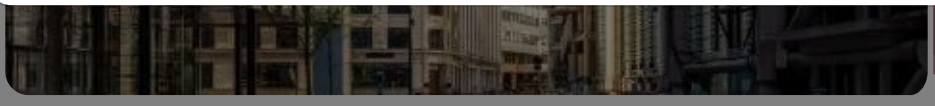
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